(j) rent of or cost of repairs to any premises or part of premises not incurred for the purpose of those operations;

(k) amounts incurred in respect of any income tax, special tax, development levy, profits tax or other similar taxes, whether charged within Nigeria or elsewhere;

(l) the depreciation of any premises, buildings, structures, works of a permanent nature, plant, equipment, machinery, furniture or fixtures;

(m) payment to provident, savings, widows and orphans or other society, scheme or fund;

(n) any contribution to a pension, provident or other society, scheme or fund for production staff which may be approved, with or without retrospective effect, by the National Pension Commission subject to such general conditions or particular conditions, in the case of the society, scheme or fund as the Service may prescribe, provided that any sum received by or the value of any benefit obtained by the company from any approved pension, provident or other society, scheme or fund, in the accounting period of that company shall, for the purpose of section 68 (2) of this Act, be treated as income of the company for that accounting period;

(o) all customs duties;

(p) any expense on which Value Added Tax is due under this Act but not charged, or in the case of imported items, any expense on which the applicable import duty or levy was not paid; and

Sixth Schedule

(q) costs under paragraph 2(2)(c) of the Sixth Schedule to this Act.

Assessable profits and losses

70. (1) The assessable profits for each company or petroleum mining lease for any accounting period shall be the amount of the adjusted profit of that period after the deduction of the amount of any loss incurred by that company during any previous accounting period.

(2) The assessable profit shall be determined separately for each of the two classes of chargeable tax identified in section 72 (a) and (b) of this Act.

(3) The loss referred to in subsection (1) shall be deducted to the extent possible from the amount of the adjusted profits of the accounting period immediately succeeding the accounting period in which the loss was incurred, and in subsequent accounting periods, until the loss is fully recouped.

(4) Within five months after the end of any accounting period of a company, or within such further time as the Service may permit in writing, the company may elect in writing that a deduction or any part to be made under this section shall be deferred to and be made in the succeeding accounting period, and may so elect in any succeeding accounting period.

Chargeable profits and allowances

71. (1) The chargeable profits of a company for any accounting period shall be the amount of the assessable profits of that period after the deduction of any amount to be allowed in accordance with the provisions of this section as follows –

First Schedule

(a) the aggregate amount of capital allowances due to the company under the provisions of Part II of First Schedule to this Act for the accounting period;

Sixth Schedule

(b) the aggregate amount of all production allowances due to the company under the provisions of the Sixth Schedule to this Act for the accounting period; and

First Schedule

(c) in the case of acquisition costs of petroleum rights, the value of the rights and the value of the assets acquired shall be reported separately to the Service, provided that the value of the rights shall be eligible for annual allowance of 20% per annum until it is fully written off and the value of the assets shall be depreciated based on the applicable depreciation rates for the respective assets under Part II of the First Schedule to this Act.

Sixth Schedule

(2) In determining the chargeable profit, the total cost shall not exceed the cost-price ratio as determined in the Sixth Schedule to this Act.

(3) The chargeable profits and allowances shall be determined separately for the two classes of assessable profits under section 72 (a) and (b) of this Act.

First Schedule

(4) Where Value Added Tax is due under this Act but not charged on an asset, or in the case of an imported item, the applicable import duty or levy was not paid, the relevant expenditure shall not be eligible as a qualifying capital expenditure under the provisions of Part II of First Schedule to this Act.

Chargeable hydrocarbon tax

72. The chargeable hydrocarbon tax for any accounting period of a company shall be a percentage of the aggregated chargeable profit for that period and it shall be –

(a) 30% of the profit from crude oil for petroleum mining leases selected under section 93 (6) (b) and (7) (b) of the Petroleum Industry Act with respect to onshore and shallow water areas; and

Act No. 6, 2021

(b) 15% of profit from crude oil for onshore and shallow water and for petroleum prospecting licences selected under section 93 (6) (a) and (7) (a) of Petroleum Industry Act.

Additional chargeable tax payable in certain circumstances

73. (1) Where, for any accounting period of a company, there is a sale of chargeable oil between connected persons, or disposal of chargeable oil between connected or unconnected persons, and the amount of the chargeable hydrocarbon tax for that period, calculated in accordance with the provisions of this Part other than this section, is less than the amount prescribed in subsection (2), the company shall pay an additional amount of chargeable hydro-

carbon tax for that period equal to the difference between those two amounts.

(2) The amount referred to in subsection (1) is, for any accounting period of a company, the amount which the chargeable hydrocarbon tax for crude oil for that period, calculated in accordance with this Part, shall be, if the reference in section 67 (1) (a) of this Act to the proceeds of sale were a reference to the amount obtained by multiplying the number of barrels of that crude oil determined at the measurement point by the fiscal oil price per barrel.

(3) For the purpose of subsection (2), the Commission shall establish the fiscal oil price at each measurement point on an export parity basis under paragraph 8 (1) and (2) of the Seventh Schedule of the Petroleum Industry Act and the total value of the chargeable oil for a company shall be the sum of the multiplications of volume and fiscal oil price at all measurement points as established by the Commission. Act No. 6, 2021

(4) The whole of any additional chargeable hydrocarbon tax for crude oil and associated gas payable by a company under this section for any accounting period shall be paid concurrently with the final instalment of the chargeable hydrocarbon tax payable for that period.

(5) Where there is no fiscal oil price established for a crude oil stream, the Commission shall establish fiscal oil price for such stream and the fiscal oil price per barrel established shall bear a fair and reasonable relationship –

(a) to the established fiscal oil price of Nigerian crude oil streams of comparable quality and specific gravity; or

(b) where there are no such Nigerian crude oil streams of comparable quality and specific gravity, it shall bear a fair and reasonable relationship to the official selling prices at main international trading centres for crude oil of comparable quality and gravity,

due regard being had in either case to freight differentials and other relevant factors.

(6) Notwithstanding any other provision in this Part, where crude oil, which in relation to a particular company is its chargeable oil, is sold or disposed by another company, the crude oil shall for the purpose of this section be deemed to be sold or disposed by that particular company.

Pre-production cost

74. Where a company has not commenced the production and sale or disposal of chargeable oil, all costs incurred wholly and exclusively for the purpose of coming into upstream petroleum operations, subject to sections 68 and 69 of this Act, shall upon commencement of production and sale or disposal of chargeable oil be deemed to have incurred a qualifying pre-production capital expenditure which shall be amortised in line with paragraphs 2 and 14 of Part II of First Schedule to this Act. First Schedule

Trade or business sold or transferred

75. The sale or transfer of a trade or business of upstream petroleum operations carried on in Nigeria by a company to another company shall be treated in accordance with section 190 of this Act.

Consolidation of costs and revenue

76. (1) A company engaged in upstream petroleum operations across terrains shall be allowed to consolidate costs and incomes for the purpose of income tax under Chapter Two of this Act.

(2) A company engaged in upstream petroleum operations related to crude oil across terrains shall be allowed to consolidate costs and revenue for the purposes of hydrocarbon tax, only across assets in which it holds licences and leases in accordance with the two categories of chargeable tax stipulated in section 72 of this Act

Partnerships

77. (1) A person, other than a company, who engages in upstream petroleum operations either on his own account or jointly with any other person or in partnership with any other person with a view to sharing the profits arising from the operations, commits an offence.

(2) Where the person referred to in subsection (1) has benefitted from any profits on upstream petroleum operations, the person shall be subject to hydrocarbon tax and income tax under section 78 of this Act on the profits and shall pay a penalty provided under the Nigeria Tax Administration Act, 2025.

(3) Where two or more companies are engaged in upstream petroleum operations either in partnership, in a joint venture or in concert under any scheme or arrangement, tax shall be charged and assessed on them in accordance with subsection (4).

(4) The apportionment of any profits, outgoings, expenses, liabilities, deductions, qualifying expenditure and the tax chargeable upon each company shall be in line with the equity interest of the parties under a jointly executed agreement that will be made available to the Service and where no jointly executed agreement is made available, the Commission shall advise the Service of the approved equity interest of the parties and it shall be binding on the parties.

(5) Subject to this Part, where two or more companies are engaged in upstream petroleum operations either in partnership, in a joint venture or in concert under any scheme or arrangement, the Service may make regulations, for the ascertainment of tax to be charged or assessed upon each company so engaged.

(6) Regulations made under subsection (5) may make provisions –

(a) with respect to apportionment of any profits, outgoings, expenses, liabilities, deductions, qualifying expenditure and tax chargeable upon each company ;

(b) for the computation of any tax as if the partnership, joint venture, scheme or arrangement were carried on by one company and apportion the tax between the companies concerned ;

(c) to accept other basis of ascertaining the tax chargeable upon each of the companies; or

(d) which have regard to any circumstances whereby the operations are partly carried on for any company by an operating company whose expenses are reimbursed by those companies.

(7) Regulations made under this section may be of general application for the purpose of this section and this Part or for a class of arrangement or for a particular application to a specific partnership, joint venture, scheme or arrangement.

(8) The effect of regulations made under this section shall not impose a greater burden of tax upon any company so engaged in any partnership, joint venture, scheme or arrangement than would have been imposed upon that company under this Part, if all things enjoyed, done or suffered by such partnership, joint venture, scheme or arrangement had been enjoyed, done or suffered by that company in the proportion in which it enjoys, does or suffers those things under or by virtue of that partnership, joint venture, scheme or arrangement.

Income tax on petroleum operations

Act No. 6, 2021

78. (1) Sections 78 to 88 of this Act and the provisions of chapter two of this Act shall apply to any company, concessionaire, licensee, lessee, contractor or subcontractor involved in the upstream, midstream or downstream petroleum operations under the Petroleum Industry Act –

(2) For the purpose of determining the value of chargeable crude oil or chargeable gas, in relation to any accounting period, the crude oil and gas revenue of a company for that period shall be the value of any chargeable oil or chargeable gas adjusted to the measurement points, based on the –

(a) proceeds of all chargeable oil or gas sold by the company; and

(b) value of all chargeable oil or gas disposed by the company.

(3) In determining the income tax under Chapter Two of this Act –

(a) hydrocarbon tax is not deductible; and

(b) income chargeable to tax includes –

(i) all income of that period incidental to and arising from any one or more of its petroleum operations, and

(ii) gains arising from the disposal of assets accruing to the company in any accounting period, ascertained in accordance with the relevant provisions of Part VIII of Chapter two of this Act.

Registration and use of separate company for each stream of petroleum operations

Act No. 6, 2021

79. (1) Subject to sections 142 (2) and 197(2) of the Petroleum Industry Act, a person intending to be involved in more than one stream, that is, upstream, midstream or downstream petroleum operations, shall register and use a separate company for each stream of petroleum operations under the Petroleum Industry Act:

Provided that, for companies with petroleum mining leases selected under section 93 (6) (b) and (7) (b) of the Petroleum Industry Act, no stamp duties, value added tax or income tax on chargeable gains shall be levied by the Government on such segregation.

(2) For strategic projects in the upstream petroleum operations that seek to produce oil and natural gas to be processed or refined to finished petroleum products, and supplied in wholesale solely to the domestic market, such projects shall have the option to be established as an integrated strategic project (ISP), whereby the capital investment in the associated midstream petroleum operations as defined under the Petroleum Industry Act, can be consolidated with the upstream petroleum operations for purposes of tax.

(3) Where an ISP option is elected, the following provisions shall apply –

(a) arm's length transfer prices shall be established to fiscalise the hydrocarbons transferred from the upstream petroleum operations to the midstream petroleum operations; and

(b) capital investment in the midstream petroleum operations consolidated with upstream petroleum operations shall not be represented for capital allowance when fiscalising the income from midstream petroleum operations.

Provisions relating to gas

80. (1) In addition to the economic development tax incentive that may be granted under Part II of Chapter Eight of this Act, investors in gas pipeline shall be granted a tax-free period of five years at the expiration of the economic development incentive certificate.

(2) Natural gas transferred or disposed from the upstream to the midstream or downstream shall be subject to tax under the relevant provisions of Chapter Two of this Act.

(3) Natural gas liquids and liquid petroleum gases derived from natural gas shall be subject to income tax under the relevant provisions of Chapter Two of this Act.

Allowances for the purposes of income tax on petroleum operations

81. (1) Acquisition costs of petroleum rights shall be eligible for annual allowance at the rate of 20% until the cost is fully written off.

(2) Capital allowance for other assets shall be granted as follows –

First Schedule

(a) upstream petroleum operations assets shall be in accordance with Part II of the First Schedule to this Act; and

(b) midstream and downstream operations shall be in accordance with Part I of the First Schedule to this Act. First Schedule

82. (1) For the purpose of determining income tax, section 20 of this Act shall be read in conjunction with the provisions of this subsection as regards the followings – Expense deductibility

(a) all rents and royalties the liability for which was incurred by the company during that period in respect of crude oil sold, condensate sold and natural gas sold or delivered or disposed of in any other commercial manner and where a petroleum mining lease includes payments to the Federation Account related to production sharing, profit sharing, risk service contracts or other contractual features and the company has incurred liability for such payments and such payments were made;

(b) any amount contributed to any fund, scheme or arrangement approved by the Commission or Authority for the purpose of providing for –

(i) abandonment and decommissioning,

(ii) petroleum host communities development trust, or

(iii) environmental remediation; and

(c) any other deduction as may be prescribed by the Minister by order published in the Official Gazette.

(2) For the purpose of determining income tax, section 21 of this Act shall be read in conjunction with the provisions of this subsection as regards the followings –

(a) any expenditure for the purchase of information relating to the existence and extent of petroleum deposits, other than for the acquisition of geological, geophysical and geochemical data or information;

(b) any expenditure incurred as a penalty including natural gas flare fees or any such imposition relating to natural gas flare;

(c) production bonuses, signature bonuses paid for the acquisition of, or of rights in or over, petroleum deposits, signature bonuses or fees paid for renewing petroleum mining lease or petroleum prospecting licence or fees paid for assigning rights to another party including for marginal fields; and

(d) any tax inputted into a contract or an agreement on a net of tax basis and paid by a company on behalf of the vendor or contractor.

83. Any company involved in upstream petroleum operations shall apply the accounting periods established for hydrocarbon tax on an actual year basis for its income tax. Basis period for income tax on petroleum operations

84. (1) Where, for any accounting period of a company, there is a sale of chargeable oil or chargeable gas between connected persons, or disposal of chargeable oil or chargeable gas between connected or unconnected persons, Additional income tax payable in certain circum-stances

and the amount of the income tax chargeable for that period, calculated in accordance with the provisions of sections 78 to 83, and Chapter Two of this Act, is less than the amount prescribed in subsection (2), the company shall be liable to pay an additional amount of chargeable tax for that period equal to the difference between those two amounts.

(2) The amount referred to in subsection (1) is, for any accounting period of a company, the amount which the chargeable tax for crude oil or gas for that period, calculated in accordance with this section and chapter two of this Act shall be, if the reference in section 78 (2)(a) and (b) of this Act, to the proceeds of sale or disposal were a reference to the amount obtained by multiplying the number of barrels of that crude oil or gas determined at the measurement point by the fiscal oil price per barrel or fiscal gas price per MMBtu.

(3) For the purposes of subsection (2), the relevant sum per barrel of crude oil, condensate or gas per MMBtu by a company is the fiscal oil price or fiscal gas price applicable to that crude oil or gas as may be established by the Commission.

(4) The whole of any additional chargeable tax for crude oil or chargeable gas payable by a company under this section for any accounting period shall be paid concurrently with the final instalment of the chargeable tax payable for that period.

(5) Where there is no fiscal oil price or fiscal gas price established for a crude oil stream or gas, the Commission shall establish fiscal oil price or fiscal gas price for such stream and the fiscal oil or gas price established shall bear a fair and reasonable relationship -

(a) to the established fiscal oil or gas price of Nigerian crude oil streams or gas of comparable quality and specific gravity; or

(b) where there are no such Nigerian crude oil streams or gas of comparable quality and specific gravity, it shall bear a fair and reasonable relationship to the official selling prices at main international trading centres for crude oil or gas of comparable quality and gravity,

due regard being had in either case to freight differentials and other relevant factors.

(6) Notwithstanding any other provision in this Part, where crude oil or gas, which in relation to a particular company is its chargeable oil or gas, is sold or disposed by another company, the crude oil or gas shall for the purpose of this section be deemed to be sold or disposed by that particular company.

Non-Associated gas greenfield developments in onshore and shallow water terrains

85. (1) Notwithstanding the provisions of this Act or any other law, the provisions of this section shall apply to all Non-Associated Gas greenfield developments in onshore and shallow water terrains reaching first commercial gas production from the commencement of this Act to 1 January, 2029 –

(a) where the hydrocarbon liquids do not exceed 30 barrels per million standard cubic feet, there shall be granted a gas production tax credit at the rate of US$1.00 per thousand cubic feet or 30% of the fiscal gas price, whichever is lower;

(b) where the hydrocarbon liquids exceed 30 barrels per million standard cubic feet but do not exceed 100 barrels per million standard cubic feet, there shall be granted a gas production tax credit at the rate of US$0.50 per thousand cubic feet or 30% of the fiscal gas price, whichever is lower;

(c) where the hydrocarbon liquids exceed 100 barrels per million standard cubic feet, the incentives under subsections (a) and (b) shall no longer apply;

(d) the gas tax credit granted by this section shall apply on Non-Associated Gas sales for 10 years only, beginning from the date of attaining first gas production; and

(e) at the expiration of the 10 years referred to in subsection (1)(d), gas production allowance shall be granted at the respective rates set out in subsection (1)(a) and (b), provided that gas production tax credit and gas production allowance shall not be granted in respect of gas production of the same period.

(2) In the case of all other Non-Associated Gas Greenfield projects with first commercial gas production after 1 January, 2029, gas production allowance shall be granted at US$0.50 per thousand cubic feet or 30% of the fiscal gas price, whichever is lower, provided that the hydrocarbon liquids do not exceed 100 barrels per million standard cubic feet.

(3) The gas production tax credit that can be recouped in any year shall not exceed the tax payable on the field(s) for that year on that income, subject to the payment of any minimum tax where applicable.

(4) Unrecouped tax credit in one year may be carried forward for a maximum of three years.

(5) The fiscal gas price for calculating gas production tax credit and gas production allowance shall be the same price used for determining royalties.

(6) The provisions of this section shall apply to oil mining leases and petroleum mining leases.

(7) Where first gas production cannot be achieved due to force majeure, such as natural disasters or acts of terrorism, the timelines and obligations stipulated in subsection (1) may be suspended, subject to approval by the Commission, until such time as the force majeure ceases to exist.

(8) The Commission shall certify the applicable hydrocarbon liquid ratios for the purposes of ascertaining appropriate gas production tax credit or gas production tax allowance.

(9) The incentives under this section shall not apply to any company that has claimed Associated Gas Framework Agreement incentives for the same Non-Associated Gas Greenfield project.

Provision Relating to Decommissioning and Abandonment of Funds

Act No. 6, 2021

86. Notwithstanding section 233(1) of the Petroleum Industry Act, a provision made for decommissioning and abandonment fund shall not be deductible for tax purposes, except –

(a) the licensee or lessee deposit a minimum of 30% of the decommissioning and abandonment fund with a Nigerian Bank, in the form of an escrow account accessible by the Commission or Authority; and

(b) the Nigerian bank is accredited in accordance with the criteria for accreditation for participation in the management of the fund, determined by the Central Bank of Nigeria in collaboration with the Service.

General application of this Part and other matters

Act No. 6, 2021

87. (1) This Part and the provisions of the Petroleum Industry Act shall not apply to holders of an oil prospecting licence or oil mining lease who do not enter into a conversion contract until the termination or expiration of the respective oil prospecting licence or oil mining lease.

Act No. 6, 2021

(2) Notwithstanding subsection (1), the provisions of Chapter Two of this Act and paragraph 6 of the First Schedule to the Petroleum Industry Act shall apply to licences and leases awarded to indigenous Nigerian companies on a sole risk basis under the Petroleum Act, on which the Government has successfully exercised its back-in rights prior to the effective date of the Petroleum Industry Act, but any renewal of an oil mining lease shall be based on the provisions of this Part and the Petroleum Industry Act.

(3) The fiscal provisions of this Part are the base terms that are applicable, and the Commission may under section 74(2) of Petroleum Industry Act conduct a licensing round whereby the bid parameter is a higher royalty, profit oil share or other fiscal features in order to ensure that the Government receives the full market value for each block.

Fiscal stabilisation

88. (1) Fiscal stabilisation sections contained in a production sharing contract or other contracts entered into after the commencement of the Petroleum Industry Act shall not be applicable to the fiscal provisions listed in this Part, regardless of whether the changes in fiscal provisions affect the contractor favourably or unfavourably, provided such changes in fiscal provision are being made in a manner that is not discriminatory to the petroleum industry or the contractor.

Act No. 6, 2021

(2) The respective fiscal provisions referred to in subsection (1) are –

(a) generally applicable taxes, such as income tax, development levy, value added tax, stamp duties, and deduction of tax at source;

(b) levies, taxes or payments to comply with modern principles in respect of environment, labour laws, health and safety; and

(c) new taxes, levies or duties as may be prescribed by the Climate Change Act, or to implement Nigeria's commitments with respect to climate change under any international agreement. Act No. 11, 2021

Petroleum royalty

Seventh Schedule

89. (1) All production of petroleum, including production tests shall be subject to royalties as provided in the Seventh Schedule to this Act.

Seventh Schedule

(2) The Service shall be the relevant tax authority for the administration of the royalty imposed under this Part, and the Seventh Schedule to this Act.

Part II - Petroleum Profits Tax

Imposition Of Tax And Ascertainment Of Chargeable Profits, Ascertainment Of Assessable Tax And Of Chargeable Tax

Charge of petroleum profits tax

90. (1) This Part shall apply to oil prospecting licences and oil mining leases that are yet to convert under the provisions of the Petroleum Industry Act.

Act No. 6, 2021

(2) Subject to Part I of Chapter Three of this Act and subsection (1), there is levied upon the profits of each accounting period of a company engaged in petroleum operations during that period a tax to be charged, assessed and payable in accordance with the provisions of this Part.

Ascertainment of profits, adjusted profit, assessable profits and chargeable profits

91. (1) Subject to the provisions of this Part, the revenue of a company in an accounting period shall be the aggregate of –

(a) the proceeds of sale of all chargeable oil sold by the company in that period;

(b) the value of all chargeable oil disposed by the company in that period;

(c) all income of the company of that period incidental to and arising from any one or more of its petroleum operations; and

(d) gains arising from the disposal of assets accruing to the company in any accounting period, ascertained in accordance with the relevant provisions of Part VIII of Chapter two of this Act which shall be taxable at the rate provided under section 56 of this Act.

(2) For the purposes of subsection (1)(b), the value of any chargeable oil disposed shall be taken to be the value of that oil in line with the applicable legislation.

(3) The adjusted profit of an accounting period shall be the profits of that period after the deductions allowed under section 92(1) of this Act and any

adjustment to be made in accordance with the provisions of sections 92(2) and 96 of this Act.

(4) The assessable profit of an accounting period shall be the adjusted profit of that period after any deduction allowed under section 97 of this Act.

(5) The chargeable profits of an accounting period shall be the assessable profits of that period after the deductions allowed under section 98 of this Act.

Deductions allowed

92. (1) In computing the adjusted profit of a company for an accounting period from its petroleum operations, there shall be deducted all outgoings and expenses wholly and exclusively incurred, during the period by the company for the purpose of its operations, as follows –

(a) rents incurred by the company for that period in respect of land or buildings occupied under an oil prospecting licence or an oil mining lease for disturbance of surface rights or for any other like disturbance;

(b) all non-productive rents incurred by the company during that period;

(c) all royalties incurred by the company during that period in respect of natural gas sold and actually delivered to the Nigerian National Petroleum Company Limited, or sold to any other buyer or customer or disposed in any other commercial manner;

(d) all royalties incurred by the company during the period in respect of crude oil or of casinghead petroleum spirit won in Nigeria;

(e) customs or excise duty or other like charges in respect of machineries, equipment and goods used in the company's petroleum operation incurred by the company to the Federal Government of Nigeria during the period;

(f) any expense incurred for repair of premises, plant machinery, or fixtures employed for the purpose of carrying on petroleum operations, or for the renewal, repair or alteration of any implement, utensils or articles employed;

Third Schedule

(g) interest incurred on money borrowed by such company where the Service is satisfied that the interest was payable on capital employed in carrying on its petroleum operations subject to the provisions of the Third Schedule to this Act and the Transfer Pricing Regulations;

(h) any expenditure being intangible drilling costs directly incurred in connection with drilling and appraisal of a development well;

First Schedule

(i) any expenditure (tangible or intangible) directly incurred in connection with the drilling of an exploration well and the next two appraisal wells in the same field whether the wells are productive or not, provided that where a deduction is made under this section in respect of any such expenditure, that expenditure shall not be treated as qualifying drilling expenditure for the purpose of Part III of the First Schedule to this Act ;

Act No. 2, 2014

(j) any contributions to pension, provident or other society, scheme or fund, which may be approved, under the Pensions Reform Act, provided

that the sum received by or the value of any benefit obtained by such company, from any approved pension, provident or other society, scheme or fund, in any accounting period of that company shall, for the purpose of subsection (1)(c) of section 90 of this Act, be treated as income of the company for that accounting period;

(k) customs and excise duties, stamp duties, or any other rate, fee or other like charges, other than any tax on income, incurred by the company during the period to the Federal Government, a State or Local Government;

(l) any amount contributed to a fund, scheme or arrangement approved by the Commission for the purpose of decommissioning and abandonment, subject to the production of the statement of account of the Decommissioning and Abandonment Fund :
Provided that the surplus or residue of the fund after decommissioning and abandonment of the field shall be subject to tax under this Part;

(m) debts directly incurred to the company and proved to the satisfaction of the Service to have become bad or doubtful in the accounting period for which the adjusted profits is being ascertained, notwithstanding that such bad or doubtful debts were due and payable prior to the commencement of that period, provided that –

(i) the debt was included as a profit from petroleum operations in the accounting period in which they were incurred or advances made in the normal course of carrying on petroleum operations not being advances on account of any item under section 97 of this Act,

(ii) the deduction to be made in respect of a doubtful debt shall not exceed that portion of the debt which is proved to have become doubtful during that accounting period, and shall not include any amount deducted under the provisions of this paragraph in determining the adjusted profit of a previous accounting period, and

(iii) all sums recovered by the company during that accounting period on account of amounts previously deducted in respect of bad or doubtful debts shall be treated as income of the company for that period;

(n) development levy paid under section 59 of this Act ; and

(o) such other deductions as may be prescribed by any rule made under this Part.

(2) Liability waived, released or recovered shall be treated under this Part in accordance with section 193 of this Act.

Incentives for utilisation of associated gas

93. (1) The following incentives shall apply to a company engaged in the utilisation of associated gas –

(a) investment required to separate crude oil and gas from the reservoir into usable products shall be considered as part of the oil field development;

(b) capital investment on facilities or equipment to deliver associated gas

in usable form at utilisation or designated custody transfer points shall be treated for tax purposes, as part of the capital investment for oil development;

(c) capital allowances, operating expenses and basis of tax assessment shall be subject to the provisions of this part and the tax incentives under the revised memorandum of understanding.

(2) The incentives specified under subsection (1) shall be subject to the following conditions –

(a) condensates extracted and re-injected into the crude oil stream shall be treated as oil, but those not re-injected shall be treated under existing tax arrangement;

(b) the company shall pay the minimum amount charged by the Minister of Petroleum Resources for any gas flared by the company;

(c) the company shall, as far as practicable, keep the expenses incurred in the utilisation of associated gas separate from those incurred on crude oil operation and expenses that cannot be separated shall be allowable against the crude oil income of the company under this Act;

(d) expenses identified as incurred exclusively in the utilisation of associated gas shall be regarded as gas expenses and be allowable against the gas income and profit to be taxed under Chapter Two of this Act;

(e) companies which invest in natural gas liquid extraction facilities to supply gas in usable form to downstream projects, including aluminium smelter and methanol, Methyl Tertiary Butyl Ether and other associated gas utilisation projects shall benefit from the incentives;

(f) all capital investments relating to the gas-to-liquids facilities shall be treated as chargeable capital allowance and recovered against the crude oil income; and

(g) gas transferred from the natural gas liquid facility to the gas-to-liquid facilities shall be at zero per cent tax and zero per cent royalty.

(3) Where a company has enjoyed any incentive under this section, the company shall not claim similar incentive under any law in Nigeria regarding the same investment or project, including economic development tax incentive and gas pipeline investment incentive under section 80 of this Act.

Application of incentives to utilisation of non-associated gas

94. All incentives granted in respect of investments in associated gas shall be applicable to investments in non-associated gas.

Deductions not allowed

95. (1) Subject to the provisions of this Part, for the purposes of ascertaining the adjusted profit of any company for any accounting period from its petroleum operations, no deduction shall be allowed in respect of –

(a) any capital withdrawn or any sum employed or intended to be employed as capital;

(b) any capital employed in improvements as distinct from repairs;

(c) any sum recoverable under an insurance or contract of indemnity;

(d) rent of or cost of repairs to any premises or part of premises not incurred for the purposes of those operations;

(e) any amount incurred in respect of any income tax, profits tax or other similar tax whether charged within Nigeria or elsewere;

(f) the depreciation of any premises, buildings, structures, work
s of a permanent nature, plant, equipment, machinery, furniture or fixtures;

(g) any payment to any pensions, provident, savings widows' and orphans' or other society scheme or fund, except such payments as are allowed under section 91 (1) (j) of this Act;

(h) customs duty on goods, including articles or any other thing, imported by the company –

(i) or resale or for personal consumption of employees of the company, or

(ii) where goods of the same quality to those imported are produced in Nigeria and are available for sale to the public at a price lower or equivalent to the cost of the imported goods at the time the imported goods were ordered by the company;

(i) any expenditure for the purchase of information relating to the existence and extent of petroleum deposits;

(j) any qualifying expenditure for the purposes of Part III of the First Schedule to this Act, and any expense or deduction in respect of a liability incurred which is deductible under any other provision of this Act;

First Schedule

(k) any tax or penalty borne on behalf of another person; and

(l) any expense on which Value Added Tax is due under this Act but not charged, or in the case of imported items, any expense on which the applicable import duty or levy was not paid.

(2) Notwithstanding the provisions of section 92(1) of this Act, in computing the adjusted profit of any company of any accounting period, deduction shall not be allowed in respect of any sum incurred to a related party where the cost is not in accordance with the Transfer Pricing Regulations.

Exclusion of certain profits

96. Where a company engaged in petroleum operations is engaged in the transportation of chargeable oil by ocean going oil-tankers operated by or on behalf of the company from Nigeria to another territory, adjustments shall be made in computing an adjusted profit or a loss to exclude any profit or loss attributable to such transportation.

Assessable profits and losses

97. (1) Subject to the provisions of this section, the assessable profits of a company for any accounting period shall be the amount of the adjusted profit of that period after the deduction of –

(a) the amount of any loss incurred by that company during any previous accounting period; and

(b) in a case of a business restructuring, the amount of any loss which is allowed for deduction by the new company under section 190 of this Act in its trade or business during its first accounting period.

(2) The loss referred to in subsection (1) shall be deducted to the extent possible from the amount of the adjusted profits of the accounting period immediately succeeding the accounting period in which the loss was incurred, and in subsequent accounting periods, until the loss is fully recouped.

(3) Subject to the approval of the Service, a company may, within five months after the end of an accounting period, or such further time as the Service may permit, elect in writing, that a deduction to be made under this section, or part of the deduction, be deferred to succeeding accounting periods.

Chargeable profits and capital allowances

98. (1) The chargeable profits of a company of any accounting period shall be the amount of the assessable profits of that period after the deduction of any amount to be allowed in accordance with the provisions of this section.

First Schedule

(2) There shall be computed the aggregate amount of all allowances due to the company under the provisions of Part III of the First Schedule to this Act for the accounting period.

(3) In calculating the amount of the deduction to be allowed under this section for an accounting period, the limitation imposed by subsection (4) shall be applied to ensure that the tax chargeable on the company for that period is not less than 15% of the tax chargeable for the period, where no deduction is made under this section.

(4) The amount to be allowed as a deduction under this section shall be, the lower of –

(a) the aggregate amount computed under subsection (2); or

First Schedule

(b) a sum equal to 85% of the assessable profits of the accounting period less 170% of the total amount of the deduction allowed as petroleum investment allowance computed under Part III of the First Schedule to this Act for the period.

(5) Where the total amount of the allowances computed under subsection (2) cannot be deducted under subsection (1) due to insufficiency of or no assessable profits for the accounting period or to the limitation imposed by subsection (4) the total amount or the part which has not been deducted, shall be –

(a) added to the aggregate amount to be computed under subsection (2) for the succeeding accounting period of the company; and

First Schedule

(b) deemed to be an allowance due to the company, under the provisions of Part III of the First Schedule to this Act for that succeeding accounting period.

First Schedule

(6) Where Value Added Tax is due under this Act but not charged on an asset, or in the case of an imported item, the applicable import duty or levy was not paid, the relevant expenditure shall not be eligible as a qualifying capital expenditure under the provisions of Part III of First Schedule to this Act.

Assessable petroleum profits tax

99. (1) The assessable tax for an accounting period of a company shall be an amount equal to 85% of its chargeable profits of that period.

(2) Where a company has not commenced a sale or bulk disposal of chargeable oil under a programme of continuous production, its assessable tax for an accounting period during which it has not fully amortised all its pre-production capitalised expenditure, shall be 65.75% of the chargeable profits for that period :

Provided that –

(a) the period of the tax rate under this subsection shall not be more than five years, commencing from the first accounting period of the company, notwithstanding any other incentive as may be granted to the company; and

(b) where a company is granted a licence or lease or acquires an interest in an oil and gas asset that has enjoyed the provision of this subsection, the company shall be subject to tax under the provision of subsection (1) from its first accounting period.

Additional chargeable tax payable in certain circum-stances

100. (1) Where, for any accounting period of a company, there is a sale of chargeable oil between connected persons, or disposal of chargeable oil between connected or unconnected persons, and the amount of the chargeable tax for that period, calculated in accordance with the provisions of this Part other than this section, is less than the amount prescribed in subsection (2), the company shall pay an additional amount of chargeable tax for that period, equal to the difference between those two amounts.

(2) The amount referred to in subsection (1) is, for any accounting period of a company, the amount which the chargeable tax for that period, calculated in accordance with the provisions of this Part, shall be, if the reference in section 91 (1) (a) and (b) of this Act to the proceeds of sale were a reference to the amount obtained by multiplying the number of barrels of that crude oil determined at the measurement point by the fiscal oil price per barrel.

(3) For the purpose of this section, the total value of the chargeable oil for a company shall be the sum of the multiplications of volume and fiscal oil price as established by the Commission at the measurement point.

(4) The whole of any additional chargeable tax for crude oil payable by a company under this section for any accounting period shall be payable concurrently with the final instalment of the chargeable tax payable for that period.

(5) Where there is no fiscal oil price established for a crude oil stream, the Commission shall establish fiscal price for such stream and the fiscal oil price per barrel established shall bear a fair and reasonable relationship –

(a) to the established fiscal oil price of Nigerian crude oil streams of comparable quality and specific gravity; or

(b) where there are no such Nigerian crude oil streams of comparable quality and specific gravity, it shall bear a fair and reasonable relationship to the official selling prices at main international trading centres for crude oil of comparable quality and gravity, due regard being had in either case to freight differentials and other relevant factors.

(6) Notwithstanding any other provision in this Part, where a particular company's chargeable oil is exported from Nigeria or sold locally by another company, that chargeable oil for the purpose of this Part shall be deemed to be exported from Nigeria or sold by that particular company.

Partnership

101. (1) A person, other than a company, who engages in petroleum operations either on his own account or jointly with any other person or in partnership with any other person with a view to sharing the profits arising from those operations commits an offence.

(2) Where the person referred to in subsection (1) has benefitted from any profits on upstream petroleum operations, the person shall be subject to tax under this Part on the profits and shall pay a penalty provided under Nigeria Tax Administration Act, 2025.

(3) Where two or more companies are engaged in petroleum operations either in partnership, in a joint venture or in concert under any scheme or arrangement, the Service may make regulations for the ascertainment of the tax to be charged and assessed on each company so engaged.

(4) Such regulations may –

(a) modify the provisions of this Part in such manner as the Service may deem fit;

(b) provide for the apportionment of any profits, outgoings, expenses, liabilities, deductions, qualifying expenditure and the tax chargeable on each company;

(c) provide for the computation of any tax as if the partnership, joint venture, scheme or arrangement were carried on by one company and apportion that tax between the companies concerned;

(d) accept other basis of ascertaining the tax chargeable on each of the companies, which may be put forward by those companies ; or

(e) contain provisions which have regard to any circumstance whereby such operations are partly carried on for the companies by an operating company whose expenses are reimbursed by those companies.

(5) Regulations made under this section may be of general application for the purposes of this section and this Part or of particular application to a specified partnership, joint venture, scheme or arrangement.

(6) The regulations made under this section shall not impose a greater burden of tax on any company engaged in any partnership, joint venture, scheme or arrangement than would have been imposed on that company under this Part if all things enjoyed, done or suffered by such company had been enjoyed, done or suffered by the company in the proportion in which it enjoys, does or suffers those things under that partnership, joint venture, scheme or arrangement.

Part III – Deep Offshore And Inland Basin Production Sharing Contracts

Production sharing contracts

Act No. 6, 2021

102. Notwithstanding anything to the contrary contained in this Act or any other law, the provisions of this Part shall apply to deep offshore and inland basin production sharing contracts that are yet to convert under the provisions of the Petroleum Industry Act, or have been renegotiated in accordance with the provisions of the Petroleum Industry Act.

Duration of oil prospecting licence

103. The duration of an oil prospecting licence relating to production sharing contracts in the deep offshore and inland basin shall be determined by the Minister charged with responsibility for matters relating to petroleum and shall be for a minimum period of five years and not exceeding ten years.

Determination of petroleum profits tax

104. (1) The petroleum profits tax payable under a production sharing contract shall be determined in accordance with Part II of chapter three of this Act, provided that the petroleum profits tax rate applicable to the contract area as defined in the production sharing contracts shall be 50% of chargeable profits for the duration of the production sharing contracts.

(2) Nothing contained in this Part shall be construed as having exempted any holder or contractor from the payment of any other tax, duty or levy imposed by any Federal, State or Local Government, or Area Council Authority.

Determination of investment tax allowance

105. Where a holder and a contractor have incurred any qualifying capital expenditure wholly and exclusively for the purposes of petroleum operations carried out under the terms of a production sharing contract in the deep offshore or inland basin, the parties shall be entitled to investment tax allowance at a

rate of 50% of the qualifying expenditure in accordance with the provisions of existing applicable legislation for the accounting period in which that asset was first used for the purposes of such operations.

Royalty payable in respect of deep offshore production sharing contracts

Act No. 6, 2021

106. Royalty shall be determined and payable in accordance with the provisions of the Seventh Schedule to the Petroleum Industry Act.

Computation of petroleum profits tax

107. Computation of estimated and final petroleum profit tax shall be made in the US dollars on the basis of the US dollar returns filed.

Allocation of royalty oil

108. Royalty oil shall be allocated to the Commission or the holder, in such quantum as shall generate an amount equal to actual royalty payable during each month and the concession rental payable annually in accordance with the production sharing contract terms.

Allocation of cost oil

109. (1) Cost oil shall be allocated to the contractor in such quantum as shall generate an amount sufficient for the recovery of operating costs in oil prospecting licences as defined in the production sharing contract and any oil mining leases derived therefrom.

(2) All operating costs shall be recovered in US Dollars through cost oil allocations in accordance with the terms of the production sharing contract.

Allocation of tax oil

110. Tax oil shall be allocated to the Commission or the holder, in such quantum as shall generate an amount equal to the actual petroleum profit tax liability payable during each month.

Allocation of profit oil

111. Profit oil, being the balance of available crude oil after deducting royalty oil, tax oil and cost oil, shall be allocated to each party in accordance with the terms of the production sharing contract.

Payment royalty

112. (1) The holder shall pay all royalty, concession rentals and petroleum profits tax on behalf of itself and the contractor out of the allocated royalty oil and tax oil.

(2) The Service shall issue separate tax receipts in the names of the holder and the contractor for the respective amounts of petroleum profit tax paid on behalf of the holder and contractor in accordance with the terms of the production sharing contract.

Chargeable tax petroleum operations

113. The chargeable tax on petroleum operations in the contract area under the production sharing contracts shall be split between the holder and

the contractor in the same ratio as the split of profit oil as defined in the production sharing contract between them.

114. (1) The realisable price as defined in the production sharing contract established by the holder in accordance with the provisions of the production sharing contract, shall be used to determine the amount payable on royalty and petroleum profits tax in respect of crude oil produced and lifted under the production sharing contract. Use of realiable price in determining royalty and petroleum

(2) The parameters for new crude oil streams produced from the contract area shall also be determined in accordance with the provisions of the production sharing contract.

115. The holder shall make available to the contractor copies of the receipts issued by the Service bearing the names of each party as defined in the production sharing contract in accordance with each party's tax oil allocation for the payment of petroleum profits tax under the provisions of the production sharing contract. Submission of receipts

116. The relevant provisions of all existing laws, including the Petroleum Act and Part II of Chapter Three of this Act shall be read with such modifications as to bring them into conformity with the provisions of this Part. Adaptation of laws Cap. P10, LFN, 2024

117. The Minister charged with responsibility for matters relating to petroleum shall cause the Commission to call for a review of production sharing contracts every eight years. Review of the production sharing contract

Part IV - Miscellaneous Provisions

118. (1) The Service shall administer royalties payable under this Act in accordance with the provisions of the Nigeria Tax Administration Act, 2025. Administration of royalties

(2) Notwithstanding any other provision of this Act and any other law the Commission shall account for all royalties due within the ten-year period immediately preceding the commencement of this Act and the Service shall have the authority to verify the records provided.

119. In this Part — Interpretation

"accounting date" means the date on which a company usually prepares its accounting statement;

"accounting period" in relation to a company engaged in upstream petroleum operations, means-

(a) a period of one year commencing from 1 January and ending on 31 December of the same year ,

(b) any shorter period commencing on the day the company first makes

a sale or bulk disposal of chargeable oil, domestic, export or both, and ending on 31 December of the same year , or

(c) any period of less than a year being a period commencing from 1 January of any year and ending on the date in the same year when the company ceases to engage in petroleum operations,

and any dispute with respect to the date of the first sale of chargeable oil above or the date on which the company ceases to engage in petroleum operations shall be determined by the Minister responsible for Petroleum Resources;

"adjusted profits" means adjusted profit as stated in sections 67 and 91 of this Act;

"aggregate gas price" means the gas price determined under section 167(4) of Petroleum Industry Act;

"appraisal well" means a well that, in the opinion of the Commission, is aimed at determining the size, distribution, characteristics and commerciality of a petroleum discovery;

"assessable profit" means assessable profit as stated in sections 67 and 91 of this Act;

"assessable tax" for the purposes of petroleum profits tax means assessable tax ascertained under section 99 of this Act;

"associated gas" means -—

(a) natural gas, commonly known as gas-cap gas, which overlies and is in contact with crude oil in a reservoir; and

(b) solution gas dissolved in crude oil in a reservoir and emerging from the fluid as pressure drops;

Act, No. 6, 2001

"Authority" means the Nigerian Midstream and Downstream Petroleum Regulatory Authority" established under the Petroleum Industry Act;

"barrel" means a barrel of 42 United States gallons;

"*chargeable oil*" means crude oil, condensate or natural gas liquids produced upstream of the measurement point as provided under section 67 of this Act;

"chargeable profit" means chargeable profit as stated in sections 67 and 91 of this Act;

"chargeable volume" in relation to a company engaged in upstream petroleum operations means the chargeable volume as set out in paragraph 2 of the Seventh Schedule to the Petroleum Industry Act;

"Commission" means the Nigerian Upstream Petroleum Regulatory Commission established under the Petroleum Industry Act;

"company" means a company or corporation, including Limited Liability Partnership, established by or under any law in effect in Nigeria or elsewhere;

"condensate" means a portion of natural gas of such composition that are in the gaseous phase at temperature and pressure of the reservoirs, but that, when produced, are in the liquid phase at surface pressure and temperature;

"contractor" means any petroleum exploration and production company which has entered into a production sharing contract agreement or arrangement with the holder of an oil prospecting licence or an oil mining lease within the Deep Offshore and Inland Basin;

"crude oil" means, for the purposes of –

(a) Part I of Chapter Three of this Act, petroleum, which is in liquid conditions upon production from a reservoir either in its natural state or after the extraction of water, sand or other foreign substance from it, but before any such oil has been refined or otherwise treated, other than oil extracted by destructive distillation from coal, bituminous shales or other stratified deposits ; and

(b) Part II of Chapter Three of this Act, any oil, other than oil extracted by destructive distillation from coal, bituminous shales or other stratified deposits, won in Nigeria either in its natural state or after the extraction of water, sand or other foreign substance from it but before any such oil has been refined or treated;

"decommissioning and abandonment" means the approved process of cessation of operations of crude oil and natural gas wells, installations, plants and structures, including shutting down an installation's operations and production, total or partial removal of installations and structures where applicable, chemicals and all such other materials handling, removal and disposal of debris and removed items, environmental restoration of the area after removal of installations, plants and structures, and 'decommission' has a corresponding meaning;

"deep offshore" means any area within the territorial waters, continental shelf or exclusive economic zone offshore of Nigeria having a water depth in excess of 200 metres;

"disposal" and *"disposed of"* in relation to chargeable oil or gas owned by a company engaged in petroleum operations, means -

(a) delivery or export, without sale, of chargeable oil or gas to an affiliate or other company, and

(b) chargeable oil or gas delivered or transferred, without sale, to facilities used for midstream operations;

"downstream gas operations" means all activities entered into for the purpose of, distribution and supply of natural gas to retail customers, city gate reception terminals for natural gas, stations for the distribution, marketing and retailing of natural gas;

"downstream petroleum operations" means downstream gas operations and downstream petroleum products operations;

"downstream petroleum products operations" means all activities entered into for the purpose of distribution and supply of petroleum products to retail customers, tank farms for distribution of petroleum products, and stations for the distribution, marketing and retailing of petroleum products;

"exploration well" means a well that in the opinion of the Commission is aimed at discovering petroleum in a separate field in which petroleum has not been previously discovered;

Cap. C23 LFN, 2004

"Federation Account" means the Federation Account as specified in the Constitution of the Federal Republic of Nigeria;

"field" includes an area consisting of a single reservoir or multiple reservoirs all grouped on, or related to, the same geological structural feature, stratigraphic condition, a combination of both and refers to the underground productive formations or their vertical projection to the surface;

Act, No. 6, 2021

"fiscal gas price" means the price established in paragraph 8(3) of the Seventh Schedule to the Petroleum Industry Act;

"fiscal oil price" means the price established in paragraphs 8(1) and (2) of the Seventh Schedule of the Petroleum Industry Act;

"frontier acreages" means any or all acreages in an area on land in Nigeria defined as a frontier in a regulation issued by the Commission;

"frontier basin" means basins where hydrocarbon exploration activities have not been carried out or previous commercial discovery oil and gas have not been made or an area that is undeveloped and includes Anambra, Dahomey, Bida, Sokoto, Chad and Benue trough or as may be declared by the Commission through regulations;

"Government" means the Federal Government of Nigeria;

"Greenfield Non-Associated Gas Development" means all existing undeveloped non-associated gas rights and future non-associated gas rights granted under the licensing bid rounds conducted by the Commission;

Cap. P10, LFN 2004

Act, No. 6, 2021

"holder" means any Nigerian company who holds an oil prospecting licence or oil mining lease situated within the deep offshore and inland basin under the relevant provision of the Petroleum Act;

"host communities" means communities situated in or appurtenant to the area of operation of a settlor, and any other community as a settlor may determine under Chapter 3 of the Petroleum Industry Act;

"host communities development trust" has the meaning given to it in section 235(1) of Petroleum Industry Act;

"Inland Basin" means any of the following Basins namely, Anambra, Benin, Benue, Chad, Gongola, Sokoto and such other basins as may be

determined, from time to time, by the Minister charged with responsibility for matters relating to petroleum;

"intangible drilling costs" for the purposes of petroleum profits tax means all expenditure for labour, fuel, repairs, maintenance, hauling, and supplies and materials, not being supplies and materials for well cement. casing or other well fixtures, which are for or incidental to drilling, cleaning, deepening or completing wells or the preparation incurred in respect of –

(a) determination of well locations geological studies and topographical and geographical surveys preparatory to drilling ;

(b) drilling, shooting, testing and cleaning wells ;

(c) cleaning, draining and levelling land, road building and the laying of foundations ; and

(d) erection of rigs and tankage assembly and installation of pipelines and other plant and equipment required in the preparation or drilling of wells producing petroleum ;

"large-scale gas utilisation industries" means –

(a) large-scale industries that use natural gas as a feedstock such as gas-to-liquid plants, petrochemical industries and fertiliser plants; and

(b) mini-LNG plants, power plants and such other industries as defined in regulations;

"lease" means a petroleum mining lease ;

"lessee" means a holder of a lease;

"licence" means a licence issued by the Commission or Authority in respect of any applicable upstream, midstream or downstream petroleum operations;

"licensee" means a holder of a licence;

"liquefied natural gas" for the purposes of petroleum profits tax means natural gas in its liquid state at approximately atmospheric pressure;

"loss" means a loss ascertained in like manner as an adjusted profit;

"marginal field" means a field or discovery which has been declared a marginal field prior to 1 January, 2021;

"marketable natural gas" means natural gas which meets specifications determined by the Authority for distribution to wholesale customers and retail customers –

(a) for use as a domestic, commercial and industrial fuel; and

(b) as feedstock or industrial raw material;

"measurement point" means – Act No. 6, 2021

(a) a point determined in the field development plan under section 79 (2) of Petroleum Industry Act, where petroleum is being measured and its value

is determined for royalty purposes;

(b) where the point has not been determined, a point directly downstream of the flow station in the petroleum mining lease; and

(c) where measurements take place outside the petroleum mining lease, a deemed measurement point in the petroleum mining lease based on a calculation procedure approved by the Commission adjusting from the points where petroleum is being measured;

"midstream and downstream gas operations" means activities downstream of the measurement points of petroleum mining leases, whether or not related to the petroleum mining lease, with respect to the construction and operation of natural gas transport or transmission pipelines, including the related compressor stations, construction and operations of facilities to compress, transport and deliver compressed natural gas (CNG); construction and operations of gas processing facilities and central processing facilities, producing ethane, propane, butane and natural gas liquids and marketable natural gas; construction and operation of underground or above ground facilities for the storage of natural gas, ethane extraction plants, construction and operation of gas to liquids (GTL) plants, construction and operation of lubricant, petrochemical and fertiliser plants, construction and operation of LNG plants, and related LNG terminals as well as storage and transport of LNG, acquisition, operation or chartering of LNG tankers for coastal and marine transportation, purchase and sale, trading, bartering, aggregating and marketing of natural gas transported by pipelines, compressed natural gas, LNG, methane, ethane, propane, butane, natural gas liquids and liquids from GTL plants with respect to wholesale customers and gas distributors and related administration and overhead;

"midstream petroleum liquids operations" means activities downstream of the measurement points of petroleum mining leases, whether or not related to the petroleum mining lease, with respect to the construction and operation of facilities for upgrading of heavy oil, construction and operation of lubricant, petrochemical and fertiliser plants, construction and operation of petroleum liquids transport pipelines, including the related pumping stations; acquisition, operation, leasing, rental or chartering of barges, coastal or ocean-going tankers, railcars and trucks for the transport of petroleum liquids, construction, leasing and operation of tank farms and other storage facilities and export terminals for petroleum liquids, construction and operation of refineries, purchase and sale, trading, bartering, marketing of petroleum liquids and related administration and overhead;

"MMBtu" means millions of British thermal units;

"MMcf" for the purposes of petroleum profits tax means one million cubic feet;

Act No. 6, 2021

"model contract" means a contract under section 85 of Petroleum Industry Act;

"natural gas" means for the purposes of –

(a) Part I of Chapter Three of this Act, all gaseous hydrocarbons, and all substances contained in it and as exist in natural state in strata, associated or not with crude oil, and are in a gaseous state upon production from a reservoir and excludes condensates; and

(b) Part II of Chapter Three of this Act, gas obtained in Nigeria from boreholes and wells and consisting primarily of hydrocarbons;

"natural gas liquids" or *"NGL"* means hydrocarbons liquefied at the surface in separators, field facilities or in gas processing plants, and include ethane, propane, butanes, pentanes, and natural gasoline;

"non-associated gas" means natural gas that is found in a reservoir which does not contain significant quantities of crude oil;

"non-productive rents" means and includes the amount of any rent as to which there is provision for its deduction from the amount of any royalty under a petroleum prospecting licence or oil mining lease to the extent that such rent is not so deducted;

"oil mining lease" means for the purposes of –

(a) Part I of Chapter Three of this Act, an oil mining lease granted under the Petroleum Act, prior to the effective date of the Petroleum Industry Act ; Cap. P10, LFN, 2004

(b) Part II of Chapter Three of this Act, a lease granted to a company, under the Nigeria Minerals and Mining Act, for the purpose of winning petroleum or any assignment of such lease; Act, No. 20, 2007

"oil prospecting licence" means an oil prospecting licence granted under the Petroleum Act, prior to the effective date of the Petroleum Industry Act;

"onshore" means any land areas above the high-water mark, other than frontier acreages ;

"parties" for the purpose of Part III of Chapter Three of this Act, includes the Commission, any Nigerian company as the holder and the contractor;

"permit" means an official certificate of permission to undertake an activity issued by the Commission or Authority;

"person" includes a company and any unincorporated body of persons;

"petroleum" means for the purposes of –

(a) Part I of Chapter Three of this Act, hydrocarbons and associated substances as exist in its natural state in strata, and includes crude oil, natural gas, condensate and mixtures of any of them, but does not include bitumen and coal ; and

(b) Part II of Chapter Three of this Act, any mineral oil or relative hydrocarbon and natural gas existing in its natural condition in Nigeria but does not include liquefied natural gas, coal, bituminous shales or other stratified deposits from which oil can be extracted by destructive distillation;

Act, No. 6, 2021

"petroleum exploration licence" means a licence under section 71 of Petroleum Industry Act;

"petroleum mining lease" means a lease under section 81 of the Petroleum Industry Act;

"petroleum operations" means for the purposes of –

(a) Part I of Chapter Three of this Act, upstream, midstream and downstream petroleum operations; and

(b) Part II of Chapter Three of this Act, the winning or obtaining and transportation of petroleum or chargeable oil in Nigeria by or on behalf of a company for its own account by any drilling, mining, extracting or other like operations or process, not including refining at a refinery, in the course of a business carried on by the company engaged in such operations, and all operations incidental thereto and any sale of or any disposal of chargeable oil by or on behalf of the company;

"petroleum products" means materials derived from crude oil and natural gas processing such as ethane, propane, butanes, pentanes, liquefied petroleum gas, natural gas liquids, asphalts, gasoline, diesel, gas oil, jet fuel, transportation fuels, fuel oils for heating and electricity generation and such other derivatives;

Act, No. 6, 2021

"petroleum prospecting licence" means a licence under section 72 of Petroleum Industry Act;

"pipeline" means all parts of any tubular infrastructure through which petroleum is conveyed, including pipes, valves, pumping and compressor stations and other equipment appurtenant to pipes;

"production sharing contract" means –

(a) any agreement for the exploration, development and production of petroleum on terms under which the financial risk-bearing party shall recover costs and receives a share of the profits based on a share of production as established in the contract from the applicable area ; and

(b) for the purposes of Part III of Chapter Three of this Act, any agreement or arrangements made between the holder and any other petroleum exploration and production company or companies for the purpose of exploration and production of oil in the deep offshore and inland basins;

"regulation" means rule or order having force of law issued by the Minister, Minister in charge of petroleum, the Service, Commission or Authority in accordance with this Act or any other relevant law;

"rent" means an annual or other periodic charge made in respect of a licence or lease granted under the Petroleum Act or Petroleum Industry Act; Act, No. 6, 2021

"reservoir" means a subsurface rock formation containing an individual and separate natural accumulation of producible petroleum characterised by a single natural pressure system;

"royalties" means the royalties specified in the Seventh Schedule to this Act, and

"shallow water" means any area within the territorial waters, continental shelf or exclusive economic zone offshore of Nigeria up to and including a water depth of 200 metres;

"signature bonus" means a payment made to Government with respect to the grant of a petroleum prospecting licence, petroleum mining lease, or similar payments;

"terrain" for the purpose of Part I of Chapter Three of this Act means the area of any petroleum exploration licence, petroleum prospecting licence or petroleum mining lease;

"terminal" means a terminal for petroleum liquids, pumping or booster station, or other installation or structure associated with a terminal, including storage facilities, other than a terminal situated within a port or the approaches within the meaning of the Nigerian Ports Authority Act ; and Cap. N126, LFN, 2004

"upstream petroleum operations" for the purposes of Part I of Chapter Three of this Act means the exploration for, appraisal of, development of and winning or obtaining of petroleum in Nigeria by or on behalf of a company on its own account for commercial purposes, petroleum exploration operations, the drilling of exploration, appraisal and development wells, all activities upstream of the measurement points, related to the winning of petroleum through wells or mining from petroleum reservoirs, drilling, fracking, completing, treatment and operation of wells producing petroleum, construction and operation of gathering lines and manifolds for crude oil, natural gas and water, construction and operation of high and low pressure separators, construction and operation of facilities to treat crude oil and natural gas, flaring of natural gas, compression and reinjection of natural gas in reservoirs, construction and operation of facilities for the production of electricity or heat from natural gas or other fuels as energy source for the winning of petroleum, injection or re-injection of water into the reservoirs, construction and operation of pipelines and other facilities for the discharge of water, construction and operation of fixed or floating platforms or other vessels required for the winning of petroleum, construction and operation of fixed or floating storage facilities of crude oil in the licence area, transportation to and from the licence area of personnel, goods and equipment, metering

of well stream fluids, metering of petroleum at the measurement points prior to transportation, sale and marketing of crude oil, natural gas or condensates or any of them at the measurement points and such other activities which by regulation are considered upstream petroleum operations, and related administration and overhead.

Chapter 4
Relief for Double Taxation

Unilateral relief of double taxation

120. (1) Where, in any year of assessment, any part of the income or profit of a resident of Nigeria, derived from outside Nigeria, has been charged to tax in the source country, and that income or profit is also chargeable to tax in Nigeria, the tax paid outside Nigeria may be allowed as a credit against the tax payable in Nigeria.

(2) The credit to be allowed in subsection (1) shall be the lower of the –

(a) Nigerian tax, other than taxes under Chapter Three of this Act, attributable to the foreign income or profit; and

(b) amount of tax paid in the source country.

(3) The Nigerian tax under subsection (2) (a) attributable to the foreign income or profit shall be the proportion of the foreign income to total income, multiplied by the Nigerian tax.

Double taxation agreement

121. (1) Where the Government of the Federal Republic of Nigeria enters into an agreement with a treaty partner for the purpose of providing relief from double taxation in relation to tax imposed under this Act, the agreement shall have effect upon ratification or domestication by the National Assembly.

(2) Relief from double taxation shall be in respect of income tax paid under the laws of a treaty partner against income taxes imposed under this Act.

(3) Where an agreement has taken effect, any obligation as to secrecy in Nigeria Tax Administration Act, 2025 or any other law in Nigeria shall not prevent the disclosure of any information required to be disclosed under the agreement to an authorised officer of a treaty partner.

(4) The Minister may make rules for implementing the provisions of any agreement under this section.

(5) For the purposes of providing relief in Nigeria from double taxation, all extant double taxation agreements are deemed to have been made under the provisions of this section and shall apply throughout Nigeria with effect from 1 January of the year immediately following the date the agreement entered into effect.

(6) The agreement in subsection (1) shall be for the purpose of elimination of double taxation, without creating opportunities for non-taxation or reduced taxation through tax evasion, avoidance or other forms of abuse, including treaty-shopping arrangements aimed at obtaining reliefs provided in the agreement for the indirect benefit of residents of any other country or territory that is not part of the agreement.

(7) For the purposes of the agreement referred to in subsection (1), a non-resident may benefit under the agreement where the person is a resident of the relevant treaty partner and the beneficial owner of the income for which the benefit is being claimed.

(8) Nothing in this section shall be construed to allow a relief in respect of an additional tax paid for the relevant tax year under this Act or the domestic legislation of a treaty partner in conformity with the global minimum tax rules as it relates to a permanent establishment situated in the treaty partner.

Method of calculating relief to be allowed for double taxation

122. (1) Relief from double taxation under an agreement referred to in section 121 of this Act shall be granted in accordance with the provisions of this section and relevant provisions of Nigeria Tax Administration Act, 2025.

(2) The foreign tax paid to a treaty partner in accordance with the agreement, and in respect of income or profits chargeable to income tax in Nigeria may be allowed as a credit against tax payable under this Act.

(3) The Nigerian tax payable in respect of the income or profit which has been charged to tax by a treaty partner shall be reduced by the amount of the credit admissible under the terms of the agreement, provided that credit shall not be allowed to a person who was not a resident of Nigeria during the relevant year of assessment.

(4) Without prejudice to the provisions of subsection (3), the credit to be allowed in subsection (2) shall be the lower of the –

(a) Nigerian tax attributable to the foreign income or profits; and

(b) the amount of tax paid to the treaty partner.

(5) The Nigerian tax under subsection (4)(a) attributable to the foreign income or profits shall be the proportion of the foreign income to total income, multiplied by the Nigerian tax.

(6) In computing the amount of chargeable income or assessable profits, the following shall apply –

(a) deduction shall not be allowed in respect of a foreign tax, whether in respect of the same or any other profits; and

(b) where profits or income chargeable depends on the amount received in Nigeria, the amount shall be increased by the appropriate amount of the foreign tax in respect of the profits.

(7) Any claim for credit shall be made not later than two years after the end of the year of assessment, and in the event of any dispute as to the amount allowable, the claim shall be subject to objection and appeal in like manner as an assessment.

(8) Where the amount of any credit given under the agreement is rendered excessive or insufficient by reason of any adjustment of the amount of any tax payable in Nigeria or elsewhere, nothing in this Act or Nigeria Tax Administration Act, 2025 limiting the time for the making of assessments or claims for relief shall apply to any assessment or claim to which the adjustment gives rise.

(9) Notwithstanding subsection (8), the assessment or claim shall be made not later than two years from the time when such assessments, adjustments and other determinations have been made, whether in Nigeria or elsewhere, as are material in determining whether any of credit is due.

(10) Where, in accordance with any provision of the agreement, income derived by a resident of Nigeria is exempt from tax under this Act, the exempt income shall be taken into account in determining the rate of tax applicable on the remaining income of such resident.

Interpretation

123. For purpose of Chapter Four of this Act –

"foreign tax" means any tax paid to a treaty partner and covered by an agreement with the treaty partner;

"foreign profit" means a profit liable to tax under this Act and to a treaty partner;

"foreign income" means an income liable to tax under this Act and to a treaty partner;

"Nigerian tax" means income tax chargeable under this Act;

"total income" means the income or profits of a Nigerian resident including the foreign income; and

"treaty partner" means a country with which Nigeria has an agreement for the relief of double taxation.

CHAPTER 5
TAXATION OF DUTIABLE INSTRUMENTS
PART I - IMPOSITION OF STAMP DUTIES

Charge of duties
Eighth Schedule

124. There is imposed duties on instruments at the rates specified in the Eighth Schedule to this Act, subject to the exemptions contained in Part III of Chapter Nine of this Act, being any instrument which is –

(a) first executed in Nigeria; or

(b) executed outside Nigeria, and relates to any property situated or to any matter or thing done in Nigeria.

Manner of denoting duty

125. (1) Duties payable on any instrument under this Part shall be paid and denoted by any of the following means –

(a) tax stamps ;

(b) a die ;

(c) electronic or digital tagging ;

(d) electronic receipt ;

(e) issuance of certificate ; or

(f) any other means as may be determined by the relevant tax authority.

(2) The Joint Revenue Board may, on the advice of the Nigerian Postal Service and by regulations published in the Official Gazette, determine additional modes of duty denotation under subsection (1) and specify processes and requirements for their application as provided under Chapter Five of the Act.

Obligation to stamp

126. (1) Every instrument executed in Nigeria, chargeable with a duty as prescribed under Chapter Five of this Act, shall be stamped not later than 30 days after its execution by the person required to pay the appropriate duty.

(2) A person, being the transferee of interest in a real property, other than in a voluntary disposition during the lifetime of the transferor, or beneficiary of a service for which consideration was paid, or any other person taking the security in a transaction for which an instrument is executed, shall be responsible for paying the duty relating to the transaction.

Admissible evidence

127. (1) Any unstamped dutiable instrument shall not be admissible in evidence in any court, judicial or arbitration proceedings, and in satisfying any evidentiary requirements unless otherwise stated by this Act.

(2) Notwithstanding the provisions of subsection (1), an unstamped instrument may be given in evidence in a criminal proceeding.

Part II – Chargeable Instruments

Bill of exchange

128. For the purposes of Chapter Five of this Act –

"bill of exchange" includes draft, order, cheque and letter of credit, and any document or writing, except a bank note entitling or purporting to entitle a person, whether named therein or not, to payment by any other person of or to draw upon any other person for, any sum of money;

"bill of exchange payable on demand" includes an order for the payment of any sum or money –

(a) by a bill of exchange or a promissory note, or for the delivery of any bill of exchange or promissory note in satisfaction of any sum of money or for payment of any sum of money out of any particular fund which may or

may not be available, or on any condition or contingency which may or may not be performed or happen; and

(b) weekly, monthly or at any other stated periods, an order for the payment by a person at any time after the date of the payment of any sum of money, and sent or delivered by the person making the same to the person by whom the payment is to be made and not to the person to whom the payment is to be made, or to any person on his behalf.

Promissory Note

129. (1) For the purposes of Chapter Five of this Act, "promissory note" includes any document or writing, except a bank note, containing a promise to pay any sum of money.

(2) A note promising the payment of any sum of money out of any particular fund which may or may not be available, or upon any condition or contingency which may or may not be performed or happen, shall be deemed a promissory note for that sum of money.

Sale or purchase of options

130. (1) The provisions of Chapter Five of this Act as to contract notes shall apply to any contract under which an option is given or taken to purchase or sell any stock or marketable security at a future time at a certain price, as it applies to the sale or purchase of any stock or marketable security.

(2) Where under the contract in subsection (1), a double option is given or taken, the contract shall be deemed to be a separate contract in respect of each option.

Conveyance on Sale

131. Every transfer of interest or rights in real property shall be subject to duty under this section as conveyance on sale.

Conveyance in consideration of a debt

132. Where a property is conveyed to a person in consideration, wholly or in part, of a debt due to the person, the debt shall be deemed the consideration in respect of which the conveyance is chargeable with *ad valorem* duty.

Duty on transfer of mineral assets

Eighth Schedule

133. An agreement for the transfer of mineral assets of any kind whatsoever or interest therein, shall be charged with duty and payable as specified in the Eighth Schedule to this Act.

Provisions as to exchange

134. Where there is an exchange of a real property for another, any consideration exceeding ₦1,000,000 or a sum equal to the annual national minimum wage, whichever is higher, shall be charged to duty with the same ad valorem duty as a conveyance on sale.

Leases

135. An agreement for a lease, with respect to the letting of land or building, shall be subject to duty on grant of a lease or sublease, or the assignment of a lease, and shall be charged with the same duty as if it were an actual lease made for the term and consideration mentioned in the agreement, provided

that lease agreements for which the annual value is less than ₦10,000,000 or 10 times the annual minimum wage, whichever is higher, shall not be chargeable with any duty under Chapter Five of this Act.

136. The share capital of a company shall be charged with an *ad valorem* duty, as specified in the Ninth Schedule to this Act, of the amount of such capital, or increase of capital, as the case may be. Duty on share capital Ninth Schedule

137. (1) The loan capital of a company shall be charged with *ad valorem* duty, as specified in the Ninth Schedule to this Act. Duty on loan capital

(2) *"loan capital"* means any debenture stock, other stock or funded debt by whatever name known or any debt raised by any corporation, company or body of persons formed or established in Nigeria but does not include – Ninth Schedule

(a) an overdraft;

(b) loan obtained for a period not exceeding twelve months; and

(c) loan obtained for onward disbursement to any other person in an on lending arrangement:

Provided that for the purpose of paragraph (c) of subsection (2), the beneficiary of the disbursement shall be responsible to pay the duty as prescribed in the Ninth Schedule to this Act. Ninth Schedule

138. An instrument made for the purpose of issuing marketable securities by or on behalf of a company or body of persons, corporate or unincorporated, formed or established in Nigeria shall be subject to duty under Chapter Five of this Act, whether the securities are issued in Nigeria or not. Marketable Security

139. (1) Every appraisement or valuation carried out for the purpose of ascertaining the value of a real property is subject to duty, which shall be accounted for by the appraiser. Appraisements

(2) For the purpose of Chapter Five of this Act, "appraiser" means any person who values or appraises any estate or real property, or any interest, whether in possession or not, in any estate or real property, for a fee. Duplicates and counterparts

PART III – MISCELLANEOUS PROVISIONS

140. The duplicate or counterpart of an instrument chargeable with duty shall not be deemed duly stamped, unless it is stamped as an original instrument or certified by the relevant tax authority that the full duty on the original instrument has been paid.

141. Where an instrument contains or relates to more than one transaction or several distinct matters, each transaction or distinct matter shall be charged to duty separately. Duty relating to one instrument covering multiple transactions

Duty relating to multiple instruments covering same transaction

142. (1) Where multiple instruments chargeable with advalorem duties are executed for effecting the same transaction, only one of the instruments, as may be determined by the relevant tax authority, shall be charged with the *ad valorem* duty.

Eighth Schedule

(2) Any other instrument referred to in subsection (1) shall be stamped as counterparts at flat rates prescribed in the Nineth Schedule to this Act.

Provisions on non-monetary consider-ation

143. Where an instrument chargeable with *ad valorem* duty consists of non-monetary consideration, the value shall be deemed as the market value of the consideration or part thereof.

CHAPTER 6
VALUE ADDED TAX

PART I – IMPOSITION OF VALUE ADDED TAX

Imposition of Value Added Tax

144. Value Added Tax (VAT) is imposed in accordance with the provisions of Chapter Six of this Act.

Charge of VAT

145. Subject to the exemptions in Part IV of Chapter Eight of this Act, VAT shall be paid on all taxable supplies in Nigeria.

Taxable supplies

146. A taxable supply shall be deemed to take place in Nigeria where, in respect of –

(a) goods –

(i) the goods are physically present, imported into, assembled or installed in Nigeria at the time of supply, or

(ii) the beneficial owner of the rights in or over the goods is a taxable person in Nigeria and the goods or right is situated, registered or exercisable in Nigeria;

(b) a service –

(i) the service is provided to and consumed by a person in Nigeria, regardless of whether the service is rendered within or outside Nigeria or whether or not the legal or contractual obligation to render such service rests on a person within or outside Nigeria, or

(ii) the service is connected with existing immovable property, including the services of agents, experts, engineers, architects and valuers, where the property is located in Nigeria; and

(c) an incorporeal –

(i) the exploitation of the right is made by a person in Nigeria or whose place of usual residence is Nigeria,

(ii) the right is registered in Nigeria, assigned to or acquired by, a

person in Nigeria, regardless of whether the payment for its exploitation is made within or outside Nigeria, or

(iii) the incorporeal is connected with a tangible or immovable asset located in Nigeria.

Time of Supply

147. (1) For the purposes of Chapter Six of this Act, a taxable supply shall be deemed to take place at the time an invoice or receipt is issued by the supplier, or where goods are delivered or made available for use, or payment is due to or received by the supplier in respect of that supply, whichever occurs first.

(2) A taxable supply shall be deemed to take place where the supplier and recipient are connected persons and invoices are not issued, in the case of –

(a) a supply of goods which are to be removed, the time of removal of the goods;

(b) a supply of goods which is not to be removed at the time when they are available to the recipient;

(c) furnishing of a service, upon commencement of the furnishing of the service; or

(d) an incorporeal, when such incorporeal becomes available for the use of the recipient.

(3) Notwithstanding the provisions of subsections (1) or (2) –

(a) where goods are supplied under any rental agreement or where services are furnished under any agreement or law which provides for periodic payments, they shall be deemed to be successively supplied for successive parts of the periods of the agreement or as determined by such law, and each of the successive supplies shall be deemed to occur when payment becomes due or is received, whichever is earlier;

(b) where, and to the extent that, taxable supplies are –

(i) progressively or periodically made under any agreement or law which provides for the consideration for that supply to be paid in instalments or periodically and in relation to the progressive or periodic supply, or

(ii) made in relation to any construction, assembly, manufacturing, alteration, improvement or repair activity under any agreement or law which provides for the consideration for that supply to become due and payable in instalments or periodically in relation to the progressive nature of the work,

the supplies shall be deemed to be successively made, and each successive supply shall be deemed to take place whenever any payment becomes due or is received or an invoice relating to only that payment is issued, whichever occurs first; and

(c) where a taxable supply is made under an instalment credit agreement, the supply shall be deemed to take place at the time the taxable supply is delivered or the time any payment of consideration is received by the supplier in respect of the supply, whichever occurs first.

Rate of VAT

148. Subject to the provisions of Part IV of Chapter Eight of this Act, VAT shall be charged on the value of all taxable supplies at the rate of 7.5%.

Value of taxable supplies

149. (1) For the purposes of Chapter Six of this Act, the value of taxable supplies shall be determined as follows, where the supply is –

(a) for a money consideration, its value shall be the amount which with the addition of the VAT chargeable is equal to the consideration; and

(b) not for a money consideration, the value of the supply shall be its market value.

(2) Where a taxable supply is not the only transaction to which a consideration relates, the supply shall be the part of the consideration as is properly attributable to it.

(3) For the purposes of Chapter Six of this Act, the market value of a taxable supply, where it is not for money consideration, or for a supply between connected persons, shall be the money consideration as may be payable by a person in a transaction at arm's length.

Value of imported taxable supply

150. The value of imported taxable supply for the purposes of Chapter Six of this Act shall be the amount which is equal to the price of the taxable supply imported plus –

(a) taxes, duties and other charges levied either outside or by reason of importation into Nigeria, other than VAT imposed under this Act; and

(b) costs by way of commission, parking, transport and insurance up to the port or point of entry.

Taxable supply by non-residents

151. (1) A non-resident person who makes taxable supplies to Nigeria shall register for tax and include VAT on its invoice for all taxable supplies.

(2) Where a non-resident person is making taxable supplies from outside Nigeria to persons in Nigeria, the taxable person to whom the supply is made in Nigeria shall withhold the VAT due on the supply and remit it to the Service.

(3) The Service may, by notice, appoint any person, including a non-resident supplier of taxable supplies, to collect the VAT and remit it to the Service.

(4) Where a person appointed under subsection (3) has made a taxable supply to a taxable person in Nigeria, the taxable person shall not have the obligation to withhold the VAT, except where the person appointed has failed to collect the VAT.

(5) Where a person appointed under subsection (3) does not process payments in respect of the supplies but receives commission relating to the supplies, the appointed person shall use the mechanism with which it collects its commission to collect the VAT.

(6) A non-resident person that makes a taxable supply to a person in Nigeria may appoint a representative for the purpose of compliance with its VAT obligations.

(7) The Service may issue guidelines for the purpose of giving effect to the provisions of this section, including the form, time and procedure for filing returns and payment by non-resident suppliers appointed by the Service under subsection (3).

(8) Where taxable goods are imported into Nigeria through an online electronic or digital platform operated by a non-resident supplier and VAT has been collected by the Service or any person appointed by the Service, the goods shall not be further subjected to VAT before clearing upon provision of proof of payment of the VAT.

Part II – Remittances and Recovery of VAT

Payment of VAT by taxable person

152. (1) A taxable person shall pay VAT to a supplier on the taxable supply made to the person.

(2) The VAT paid by a taxable person under subsection (1) shall be known as input VAT.

VAT Invoice

153. (1) A taxable person who makes a taxable supply shall maintain a sequential invoice numbering, and shall in respect of a supply, furnish the purchaser with a VAT invoice containing, the following –

(a) supplier's tax ID;

(b) an invoice number;

(c) name and address of the supplier;

(d) supplier's incorporation or business registration number as applicable;

(e) the date of supply;

(f) name of purchaser or client;

(g) gross amount of transaction; and

(h) VAT charged and the rate.

(2) VAT invoice shall be issued on supply whether or not payment is made at the time of supply.

(3) VAT invoice shall be issued by a taxable person making a taxable supply or such other person as may be appointed by the Service.

(4) For the purpose of subsection (1), the Service may direct any taxable person who makes taxable supplies to adopt the use of electronic invoice, provided that it gives a notice of, at least 30 days to the person.

Collection of VAT by taxable person

154. (1) A taxable person shall, on making taxable supplies under Chapter Six of this Act, collect VAT at the rate specified in section 148 of this Act.

(2) The VAT collected by a taxable person under subsection (1) shall be known as output VAT.

Collection of VAT by persons other than the supplier

155. (1) Without prejudice to any provision of this Act or any other tax law, the following persons shall collect or withhold VAT on taxable supplies made to them and remit it to the Service within the time prescribed by this Act, the Nigeria Tax Administration Act, 2025, or any regulation made pursuant thereto –

(a) Federal, State, Local Government and their respective Ministries, Departments or Agencies; or

(b) any other person appointed by the Service to collect or withhold VAT for the purposes of this Part.

(2) The Service may direct a taxable person to whom taxable supplies is made in Nigeria and issued an invoice on which VAT is not included, to self-account for the VAT payable and remit it to the Service.

(3) The remission of the VAT under subsections (1) and (2) shall be accompanied with a schedule showing the name, Tax ID and address of the contractor or supplier, invoice number, gross amount of invoice, amount of the VAT and the month to which the return relates.

(4) The VAT collected, withheld or self-accounted under this section shall be remitted to the Service on or before the 14th day of the month immediately following the month of the transaction or as may be prescribed by the Service.

(5) A person having an obligation to collect VAT under Chapter Six of this Act shall keep proper records, make appropriate returns and remittances, and all provisions relating to compliance obligation in chapter six of this Act, the Nigeria Tax Administration Act, 2025 or related tax laws shall apply to such person as though it is the taxable person.

Credit for input tax and remission of VAT

156. (1) A taxable person shall, not later than the due date for rendering the relevant tax return prescribed by the Nigeria Tax Administration Act, 2025, where the –

(a) output VAT exceeds the input VAT, remit the excess to the Service; or

(b) input VAT exceeds the output VAT, be entitled to utilise the excess tax as a credit against subsequent months.

(2) A taxable person shall be entitled to a refund of excess VAT not utilised as a credit, upon request to the Service and provision of such information or documents as the Service may require.

(3) An importer of taxable goods shall, before clearing those goods, pay to the Service the VAT on the goods.

(4) A person whose supplies are chargeable to VAT at 0%, shall pay VAT on taxable supplies consumed in the production of its supplies, and may thereafter request for a refund of the VAT paid.

(5) Input tax incurred by a registered person on any taxable supply, including services and fixed assets made to such person, may be deducted from the tax payable by the person on its taxable supplies at the end of the tax period in which the supply occurred, but only to the extent that the input tax was incurred for the purpose of consumption, use or supply in the course of making taxable supplies.

Provided that –

(a) where any input tax is incurred in making both taxable and non-taxable supplies, only the proportion relating to making taxable supplies may be deducted

(b) the input tax shall be allowable for deduction within five years after the end of the tax period in which the input tax was incurred.

(6) The input tax which may be deducted in line with subsection (5) shall be limited to taxable supplies made as from the commencement of this Act.

Business sold out

157. The provisions of section 190 of this Act shall apply in respect of sale or transfer of trade, business, profession or vocation carried on in Nigeria.

Fiscalisation of supplies for VAT

158. (1) A taxable person making a taxable supply shall implement the fiscalisation system deployed by the Service in accordance with Nigeria Tax Administration Act, 2025.

(2) The fiscalisation system may include fiscal equipment consisting of electronic devices, software solutions or a communication system involving a secured network, or any such combination of the components for electronic invoicing and data transfer as the Service may prescribe or deploy.

CHAPTER 7
SURCHARGE

Imposition of surcharge

159. A surcharge is imposed at 5% on chargeable fossil fuel products provided or produced in Nigeria, and shall be collected at the time a chargeable transaction occurs.

Chargeable transaction and base for surcharge

160. (1) For the purpose of imposing surcharge on fossil fuel product, the chargeable transaction shall be the supply, sale or payment whichever occurs first.

(2) Surcharge shall be computed based on the retail price of all chargeable fossil fuel products.

Administration of Surcharge

161. (1) The Minister may by an order issued in the Official Gazette indicate the effective date of commencement of the administration of the surcharge on fossil fuel products under this Chapter.

(2) The Service shall administer and collect the surcharge on a monthly basis, and may issue regulations for its administration.

Exemption from Surcharge

162. (1) The surcharge under this Chapter shall not apply to the following fossil fuel products –

(a) clean or renewable energy products;

(b) household kerosene;

(c) cooking gas; and

(d) compressed natural gas (CNG).

(2) For the purpose of this section, "clean or renewable energy" means energy from solar, wind, hydropower, geothermal or plant and animal waste, which are naturally replenishing, produce little or no environmental pollution or greenhouse gas emissions, and do not deplete over time.

CHAPTER 8
TAX INCENTIVES

PART I – INCOME TAX EXEMPTIONS

Income tax exemption

163. (1) There is exempt from tax under chapter two of this Act –

(a) the profits accruing to, or gains from disposal of assets of any person being –

(i) a statutory or registered friendly society, where the profits or gains are not derived from a trade or business carried on by such society,

(ii) a co-operative society registered under any enactment or law relating to co-operative societies, not being profits or gains from any trade or business carried on by that society,

(iii) engaged in educational, religious or charitable activities of a public character where the profits or gains are not derived from a trade or business carried on by such person,

Cap. T14 LFN, 2004

(iv) a trade union registered under the Trade Unions Act where the profits or gains are not derived from a trade or business carried on by such trade union,

(v) a Federal, State or Local Government in Nigeria, their Ministries, Departments and Agencies and other public institutions, other than profits

or gains derived from trade or business or any instrumentality established for the purpose of trade or business, and

(vi) a government purchasing authority established by an enactment and empowered to acquire any commodity for export or redistribution;

(b) dividend distributed by authorised collective investment scheme;

(c) dividend or rental income received by a real estate investment company on behalf of its shareholders, where not less than 75% of the dividend or rental income is distributed within 12 months after the end of the financial year in which the dividend or rental income was earned, provided that nothing in this subsection shall be construed to exempt a –

(i) shareholder from tax on the dividend or rental income received from a real estate investment company,

(ii) real estate investment company from tax on management fee, profits or any other income earned for and on its own account, and

(iii) real estate investment company from tax on dividend or rental income if it does not meet the conditions stipulated in this paragraph.

(d) compensating payments, which qualify as dividends under section 4 of this Act, received by a lender from its approved agent or a borrower in a regulated securities lending transaction;

(e) compensating payments, which qualify as dividends or interest under section 4 of this Act, received by an approved agent from a borrower or lender on behalf of a lender or borrower in a regulated securities lending transaction;

(f) consular fees received on behalf of a foreign State, or by a consular officer on behalf of the State, and the employment income of such officer, other than income in respect of any trade, business, profession or vocation carried on by the officer or in respect of any other employment exercised by him in Nigeria:

Provided that this exemption shall not apply to the income of an employee engaged in domestic duties, or where the officer or employee ordinarily resides in Nigeria and is not a national of the foreign State;

(g) an income in respect of which tax is remitted or exempt under the provisions of the Diplomatic Immunities and Privileges Act or of any enactment, order or notice continued in force or effected by that Act; Cap. D9 LFN, 2004

(h) pension funds and assets created pursuant to the Pension Reform Act; Act No. 4, 2014

(i) pension, gratuity or any retirement benefits granted in accordance with the Pension Reform Act;

(j) wound and disability pensions granted to members of the armed forces or of any recognised national defence organisation, or to a person injured as a result of enemy action;

(k) a sum received by way of death gratuities or as consolidated compensation for death or injuries;

(l) subject to the provisions of Part VIII of Chapter Two of this Act, redundancy lump sum payment and other compensation of capital nature for loss of employment;

(m) gains accruing from the disposal of assets by an angel investor, venture capitalist, private equity fund, accelerators or incubators with respect to a labelled startup provided the assets have been held in Nigeria for a minimum of 24 months;

(n) income earned from bonds issued by a State or the Federal Government of Nigeria;

(o) emoluments of any person serving as other rank and other personnel serving in combat zones, hazardous areas or in designated operations, provided that where any other income accrues to the person, not being income by way of personal emoluments, that income shall be liable to tax under Chapter Two of this Act;

Thirteenth Schedule

(p) income generated by companies engaged in agricultural businesses including crop production, livestock, aquaculture, forestry, dairy and such other businesses as described in the Thirteenth Schedule to this Act, for the first five years upon commencement of business;

(q) dividend received from investments in wholly export-oriented businesses;

(r) profits of a company engaged in sporting activities;

(s) dividend, interest, rent or royalty derived from outside Nigeria and brought into Nigeria through approved channels;

(t) income of a person from an employment where such person earns gross income of national minimum wage or less from such employment;

(u) wages and salaries of military officers; and

(v) the profits of any Nigerian company (other than companies engaged in the upstream, midstream or downstream petroleum operations) in respect of goods or services exported from Nigeria if the proceeds of such exports are repatriated through official channels.

(2) The following shall not constitute chargeable gains under Part VIII of Chapter Two of this Act –

(a) gains accruing to –

(i) pension funds and assets approved under the Pension Reform Act, and

(ii) an individual from disposal of investment held as part of any national provident fund or other retirement benefits schemes established under the provisions of any Act or enactment for employees throughout Nigeria;

(b) gains on the disposal of a decoration, awarded for valour or gallant

conduct which a person acquires otherwise than for consideration in money or money's worth.

(3) A company shall be entitled to an additional deduction of 50% in the relevant years of assessment in respect of costs incurred in any two calendar years from 2023 to 2025 on the following –

(a) wage awards, salary increases, transportation allowance or transport subsidy granted to a low-income worker, which bring the gross monthly remuneration of the worker up to an amount not exceeding ₦100,000

Provided that any additional award or salary increase to an employee earning above ₦100,000 as monthly salary shall not qualify for the additional deduction under this subsection; and

(b) salaries of any new employee constituting a net increase in the average number of new employees hired in 2023 and 2024 calendar years over and above the average net employment in the three preceding years, provided that such new employees are not involuntarily disengaged within a period of three years post-employment.

(4) In this section –

"net employment" means the total number of persons employed less the total number of persons disengaged during the calendar year, whether such disengagement is voluntary or not.

"other rank" has the meaning assigned to it by the Armed Forces Pensions Act. Cap. A23, LFN 2004

"personal emoluments" means wages or salaries and includes allowances, benefits in kind, gratuities, superannuation or pension schemes and any other income derived solely by reason of employment as other rank.

Deductible donations

164. (1) Subject to the provisions of this section and notwithstanding anything contained in section 20 of this Act, for the purposes of ascertaining the profits or loss of any company for any period from any source chargeable with tax under Chapter Two of this Act, there shall be deducted the amount of any donation made for that period by that company to any fund, body or institution in Nigeria to which this section applies.

(2) Without prejudice to section 21 of this Act, any donation made by a company pursuant to subsection (1) may be deducted from the profits of that period notwithstanding that the donation is of a revenue or capital nature.

(3) This section shall apply to donations made to –

(a) public funds;

(b) statutory bodies or institutions;

(c) religious, charitable, educational and scientific institutions, established in Nigeria;

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(d) bodies recognised under the Diplomatic Immunities and Privileges Act; or

(e) any pandemic, natural disaster or other public emergency interventions.

(4) A company making a deduction for a donation shall provide requisite document evidencing the donation to the relevant tax authority.

(5) The total deduction to be allowed to a company, under this section, for any year of assessment, shall not exceed an amount equal to 10% of the profit before tax of that company for that year.

(6) In the case of a donation other than in cash, the value for the purpose of this section shall be the lower of the market value at the time of the donation or the consideration paid for the item when it was acquired.

Deduction for research and development

165. (1) Notwithstanding anything contained in section 20 of this Act, for the purpose of ascertaining the profit or loss of any company for any period from any source chargeable with tax under Chapter Two of this Act, there shall be deducted the amount incurred in that period by that company for research and development.

(2) The deduction to be allowed to a company under subsection (1) for any year of assessment shall not exceed an amount which is equal to 5% of the turnover for that year.

(3) Where a company to which this section applies subsequently sells or transfers the outcome of the research and development to another person for exploitation or commercialisation, the proceeds of such sale or transfer shall be taxed under Chapter Two of this Act.

Part II – Economic Development Tax Incentives

Priority Sectors

Tenth Schedule

166. (1) The sectors listed in the Tenth Schedule to this Act are classified as priority sectors for the purposes of economic development tax incentives.

Tenth Schedule

(2) The period of incentives for any priority sector shall be as provided in the Tenth Schedule to this Act.

Tenth Schedule

(3) The President may direct an amendment to the list contained in the Tenth Schedule to this Act, where, in his opinion –

(a) any sector is not operating on a scale suitable to the economic requirements of Nigeria, or there are favourable prospects of further development;

(b) it is expedient in the public interest to encourage the development or establishment of a sector in Nigeria for the purpose of –

(i) generating employment,

(ii) attracting foreign direct investment inflow, or

(iii) economic diversification;

(c) any sector, product or service within a sector, is considered to have been sufficiently developed to necessitate its removal from the list contained in Tenth Schedule to this Act. Tenth Schedule

167. (1) An application for economic development incentive certificate may be made by a company incorporated in Nigeria, companies granted exemption from incorporation or by promoters of a company which is yet to be incorporated. Eligibility for economic development incentive certificate

(2) An application for the issuance of an economic development incentive certificate by a company shall be considered under this section where the qualifying capital expenditure to be incurred by the company on or before production day, if the application is approved, is not below the amount specified in the Tenth Schedule to this Act. Tenth Schedule

168. (1) Subject to the provisions of this Part, every application for economic development incentive certificate shall be addressed to the Executive Secretary of the Nigerian Investment Promotion Commission (NIPC), and shall be in such form as may be specified. Application for economic development incentive certificate

(2) The application shall –

(a) show a commitment of, or the ability to commit, the minimum capital required to invest in the specified priority sector listed in the Tenth Schedule to this Act ; Tenth Schedule

(b) state whether the company is, or the proposed company when incorporated shall be, a company that the ultimate parent entity is a resident company or non-resident company ;

(c) give particulars of the assets on which qualifying capital expenditure is incurred or to be incurred by the company, including the source and cost or estimated cost –

(i) on or before production day, and

(ii) during a period of three years following the production day;

(d) specify the place in which the assets, in respect of which qualifying expenditure was incurred or to be incurred by the company or proposed company, is situated or to be situated;

(e) state the date or probable date of production day of the company or proposed company;

(f) specify any product, service, and by-product, not being a priority product, being produced or proposed to be produced by the company or

proposed company, and give a reasonable estimate of the quantities and value of such product and by-product during a period of one year from production day;

(g) give particulars of the loan and share capital, or the proposed loan and share capital of the company, or proposed company, including the amount and date of each issued shares or proposed issue, and the source from which the capital is to be or has been raised;

(h) in the case of a company already incorporated, provide the details of the ownership structure of the company and the nationality of each director of the company; and

(i) in the case of a proposed company, provide the name, Tax ID, address, and nationality of each promoter of the company and the proposed ownership structure.

(3) An application shall contain a declaration signed by the applicant that all the information contained in the application is true, and an undertaking to produce proof, if required.

(4) The application shall be accompanied by a non-refundable fee of 0.1% of the qualifying capital expenditure incurred or to be incurred, subject to a maximum of ₦5,000,000 and no further fee shall be payable to the NIPC in respect of the application.

(5) The NIPC shall recommend the application to the Minister, for approval or otherwise, including the projected tax expenditure impact report in its recommendation.

(6) The Minister, acting on the recommendation of the NIPC, may recommend the application to the President for approval.

(7) An economic development incentive certificate shall not be issued to a company without the approval of the President.

(8) The NIPC shall submit an annual report of the list of sectors and companies that have benefited under this Part to the Minister who shall, not later than 30 days, present a copy of the report to the President and the National Economic Council.

Approval of application

169. (1) A company whose application has been approved in line with section 168 of this Act, shall be issued an economic development incentive certificate.

Tenth Schedule

(2) Where a sector is removed from the Tenth Schedule to this Act –

(a) economic development incentive certificate shall not be issued to a company in relation to that sector with respect to any pending application made under section 168 of this Act; and

(b) a company issued an economic development incentive certificate before the removal shall exhaust its unexpired incentive period only.

Terms of economic development incentive certificate

170. (1) Every economic development incentive certificate shall be in accordance with the terms and conditions stipulated in this Part.

(2) An economic development incentive certificate shall specify –

(a) conditions of the certificate; and

(b) any permissible by-product that may be produced by the company in addition to the priority product and the proportion of the permissible by-product in relation to the priority product, either in quantity or in value or both.

(3) Where an application for economic development incentive certificate for a proposed company has been approved, its promoters shall incorporate the company, not later than three months after the date of notification of the approval.

(4) An economic development incentive certificate to be issued to a company to which subsection (3) relates shall be issued only after the company has been incorporated and the certificate shall be effective from the company's production day.

(5) In the case of an existing company, the NIPC shall, not later than 30 days after the approval of the President, issue the certificate and communicate it to the applicant.

(6) Notwithstanding anything contained in section 178 of this Act, where a company to which economic development incentive status has been issued –

(a) acquires another company to which an economic development incentive certificate has been issued under this Part or its equivalent under the Industrial Development (Income Tax Relief) Act, the incentive status of both companies shall cease on the expiry date indicated on the economic development incentive certificate of the subsisting company; Cap. I7 LFN, 2004

(b) takes over the assets and business of any company which is not a company with an economic development incentive status, such acquisition of asset and business of that company shall be subject to sections 168 and 171 of this Act;

(c) is acquired by a company with no economic development incentive status, the economic development incentive status of the acquired company shall not be transferred to the acquiring company except as may be approved in accordance with sections 168 and 171 of this Act;

(d) merges with one or more companies that have been issued economic development incentive certificate or its equivalent –

(i) the incentive status of the merging companies shall cease on the date of the merger,

(ii) the emerging company from the merger may apply for economic development incentive status, and

(iii) the expiration date of the economic development incentive certificate to be granted under subsection (6)(d)(ii) to the emerging company, shall not be longer than the later date on the economic development incentive certificate of the merging companies.

Addition of product to the economic development incentive certificate

171. (1) A priority company may, at any time during its incentive period, make an application in writing to the Executive Secretary of the NIPC for its economic development incentive certificate to be amended to add another product to the priority product or products specified in the certificate.

(2) An application under this section shall specify the additional priority product and the reasons for the application and the provisions of sections 168 and 171 of this Act shall apply.

(3) An economic development incentive certificate may be extended for an additional period of five years and no more, on the condition that the priority company invests 100% of its profits during the incentive period for expansion of the same product or products.

Application of economic development incentive certificate

172. (1) Subject to the provision of section 173 of this Act, where an economic development incentive certificate is issued to a company and the provisions of Chapter Two of this Act has been applied on the company after the effective date of the certificate, appropriate adjustments shall be made to give effect to the provisions of this Part.

(2) No economic development incentive certificate under this Act shall be issued with a retroactive date.

Production day and qualifying capital expenditure

173. (1) A company issued an economic development incentive certificate shall, not later than one month after its production day, apply to the relevant authority to certify its production day.

(2) The relevant authority shall within one month of certifying the production day, notify the NIPC and the Service of the production day of the company.

(3) Not later than one month after the production day of the company has been determined and certified under this section, or within such extended time as the Service may allow, the company shall make an application in writing to the Service to certify the amount of the qualifying capital expenditure incurred by the company prior to production day and the company shall supply full particulars of the capital expenditure so incurred.

(4) In determining the amount of qualifying capital expenditure incurred by the company prior to its production day, any sum derived directly or indirectly by that company from disposal, made before the production day, of any asset on which qualifying capital expenditure has been incurred, shall be deducted